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ITIL Version 5 Foundation

NAVIGATING DIGITAL PRODUCT LIFECYCLES AND AI-NATIVE
GOVERNANCE

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Navigating Digital Product Lifecycles and AI-Native Governance

The release of ITIL Version 5 in early 2026 marks a transformative epoch in the history of IT service management (ITSM), signaling a move away from traditional support models toward a unified approach to digital product and service management.¹ As organizations globally grapple with the acceleration of the digital landscape, the Information Technology Infrastructure Library (ITIL) has evolved to provide a common language that allows development, operations, and business functions to collaborate effectively in the co-creation of value.¹ This version specifically addresses the shift toward Industry 5.0, where human-technology collaboration, systemic resilience, and environmental sustainability are prioritized over simple automation.¹

The Strategic Evolution from ITIL 4 to Version 5

The transition from ITIL 4 to Version 5 represents an evolution rather than a complete reset of the framework.¹ While ITIL 4 successfully introduced the Service Value System (SVS) and holistic thinking, Version 5 expands these concepts to meet the demands of an AI-driven, fast-paced environment where products and services are no longer distinct entities but two sides of a single digital solution.¹ The strategic shift is characterized by a move from managing isolated IT systems to orchestrating end-to-end digital operations that directly influence customer and employee experiences.¹

Analysis of the 2026 digital landscape suggests that ITIL Version 5 is approximately 40% derived from ITIL 4, with 36% comprising entirely new material and 24% representing modified or refined concepts.⁴ This compositional shift reflects the necessity of addressing faster delivery cycles, constant technological disruption, and the widespread production use of artificial intelligence.¹

Characteristic	ITIL V3	ITIL 4	ITIL Version 5
Primary Focus	Processes and Service Lifecycle	Value Co-creation and Practices	Digital Product and AI Management
Core Model	Service Lifecycle (5 Stages)	Service Value System (SVS)	Unified Product and Service



			Lifecycle
Operational Approach	Linear and Rigid	Holistic and Flexible	Adaptive, Complex, and AI-Ready
Customer Interface	Service Level Delivery	Co-creation of Value	Total Digital Experience (Customer & Employee)
Technology Role	Infrastructure Support	Business Enabler	AI-Native Foundation and Automation
Governance Style	Centralized Bureaucracy	Integrated Governance	Guided Decision-Making & AI Ethics

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The evidence indicates that ITIL Version 5 functions as the "operating system" for modern organizations, bridging the gap between digital product development and effective service management.¹ By adopting this framework, organizations can leverage intelligent automation to make informed decisions, ensuring that technological outputs translate into meaningful business outcomes.¹



Key Concepts and Terms in Product and Service Management

A nuanced understanding of Version 5 begins with a precise grasp of its foundational terminology. In the contemporary management environment, professionals must distinguish between technical outputs and business outcomes.¹ A product is defined as a configuration of an organization's resources designed to offer value, while a service is the means of enabling that value co-creation by facilitating outcomes that customers want to achieve—without the customer having to manage specific costs and risks.¹

In the digital context, a digital product is a combination of resources based on digital technology, and a digital service is a service that depends largely on these products.¹ The relationship is inherently symbiotic: a bank's mobile application is the digital product, providing the necessary engine, while the ability for a user to execute a secure, instant transaction at midnight is the digital service, representing the actual trip.¹

The Value Equation and Co-creation

Value is not a static package delivered by a provider but is the perceived benefit, usefulness, and importance of something as realized through interaction.¹ The ITIL Version 5 "Value Equation" provides a mathematical framework for this perception:

$$\text{Value} = (\text{Outcomes Achieved} + \text{Costs Removed} + \text{Risks Removed}) - (\text{Costs Imposed} + \text{Risks Imposed})$$

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Practitioners must understand that for a service to be considered valuable, its positive effects must outweigh its negative ones.¹ From the consumer's perspective, costs and risks can be removed (such as not needing to own expensive server hardware) or imposed (such as monthly subscription fees or the risk of service downtime).¹



Stakeholder Personas and Service Offerings

Service relationships are no longer viewed as one-way transactions but as active cooperations aimed at value co-creation.¹ Within the consuming organization, the "Customer" role is segmented into three distinct personas, each with unique priorities:

1. **Sponsor:** The individual who authorizes the budget for service consumption, primarily interested in return on investment (ROI) and cost-benefit ratios.¹
2. **Customer:** The person who defines service requirements and takes accountability for the outcomes of consumption, focusing on solving specific business problems.¹
3. **User:** The person who interacts with the service day-to-day, focusing on user experience (UX) and ease of use.¹

Service offerings provide the menu of what is available to these stakeholders and typically consist of transfer of goods, access to resources, and service actions.¹

Offering Component	Description	Example
Transfer of Goods	Ownership of a resource is moved from provider to consumer.	Providing a corporate laptop to an employee.
Access to Resources	Right to use provider-owned resources for a specific period.	Access to a cloud-based SaaS platform or 5G network.
Service Actions	Specific activities performed by the provider to meet needs.	Service desk support, password resets, or incident repair.



The ITIL Version 5 Service Value System (SVS)

The Service Value System (SVS) represents the holistic architecture of an organization's service management capabilities, designed to eliminate operational silos by ensuring that all components work in a coordinated manner.¹ The SVS processes inputs—Opportunity and Demand—into the final output of Value.¹

Components of the SVS

The five core components of the SVS interact to ensure the continuous co-creation of value:

1. Guiding Principles:

Enduring recommendations that guide the organization in all circumstances.¹

2. Governance:

The system by which the organization is directed and controlled, setting strategic direction and monitoring performance through the Evaluate, Direct, and Monitor (EDM) cycle.¹

3. Service Value Chain:

The operating model that identifies the key activities required to respond to demand.¹

4. Management Practices:

Organizational resources (34 in total) designed to perform work.¹

5. Continual Improvement:

A recurring activity at all levels to ensure that performance meets stakeholder expectations as the environment changes.³

The Seven Guiding Principles in the Digital Era

The guiding principles provide a compass for decision-making, particularly when a roadmap is unclear or the environment is volatile.¹ In Version 5, these principles have been refined to emphasize their application in AI-native and agile contexts.¹

- **Focus on Value:** Every activity must link to value for the organization and its stakeholders. This requires understanding the consumer's business goals and risks.¹
- **Start Where You Are:** Practitioners should avoid the "rip and replace" mentality. Direct observation through "Gemba walks" should be used to identify current successful practices that can be leveraged.¹
- **Progress Iteratively with Feedback:** Large projects are broken into smaller, manageable chunks to reduce risk and allow for rapid adjustments based on stakeholder feedback.¹
- **Collaborate and Promote Visibility:** Silo culture is replaced with shared understanding and trust. Tools like Kanban boards are used to make work visible to all relevant parties.¹
- **Think and Work Holistically:** No part of the system operates in isolation. Success depends



on understanding how changes in technology affect people, processes, and partners.¹

- **Keep It Simple and Practical:** Eliminate any step, action, or metric that does not produce value. Processes should be designed for the "happy path" rather than rare exceptions.¹
- **Optimize and Automate:** Human intervention is reserved for tasks that require genuine human judgment. Organizations must optimize and streamline processes before applying AI or automation to avoid amplifying existing inefficiencies.¹

The Unified Digital Product and Service Lifecycle

The most significant structural innovation in ITIL Version 5 is the introduction of the unified **Product and Service Lifecycle Model (PSLM)**.¹ This model moves beyond the linear service lifecycle of previous versions to a holistic eight-activity flow that integrates product development and service operations.⁶ This unified lifecycle allows teams to design, build, launch, and operate together, resulting in faster delivery and enhanced predictability.¹

The Eight Activities of the PSLM

The lifecycle activities are not a rigid sequence but can be combined flexibly into various value streams.¹

Activity	Purpose	Key Outputs
Discover	Align product roadmaps and service offerings with market needs and strategy.	Updated product roadmaps and feasibility studies.
Design	Plan solutions through prototypes and specifications for functionality and UX.	Service design packages and technical blueprints.
Acquire	Secure resources (hardware, software, or talent) through buying, building, or hiring.	Acquired assets and service components.
Build	Code, configure, assemble,	Built and tested digital



	and test components into working solutions.	products.
Transition	Introduce new or updated products into live environments safely.	Operational products and services ready for use.
Operate	Monitor and maintain systems to ensure optimal performance and reliability.	Performance records and health monitoring data.
Deliver	Manage access and fulfillment requests to make services available to users.	Services delivered; SLA performance reports.
Support	Identify and resolve incidents and problems, restoring normal operation.	Restored operations; root cause analyses.

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The early stages (Discover to Build) lean toward the product aspect, while the later stages (Deliver and Support) lean toward service management.¹ The Transition and Operate stages act as the critical bridge, ensuring that development efforts are seamlessly integrated into reliable service delivery.¹



Value Stream Mapping and Management

Value streams are the specific combinations of activities and practices used to respond to a particular type of demand, such as resolving an incident or launching a new product feature.¹ While a process is an idealized model, a value stream accounts for the actual flow of work in the real world.¹ ITIL Version 5 leverages Value Stream Mapping (VSM) to identify and eliminate waste, such as redundant approvals, wait times between departments, and duplicate data entry.¹¹

Lean VSM Techniques

The VSM methodology in Version 5 incorporates several core Lean techniques to improve flow and visibility ¹²:

- **Mapping the 'As-Is' State:** Documenting exactly how work flows today by going to the "Gemba"—the place where the work happens.⁹ This prevents reliance on biased narratives or outdated documentation.¹¹
- **Identifying Waste:** Teams look for "bottlenecks" and stagnation points where work sits idle.¹¹
- **Designing the 'To-Be' State:** Visualizing a future state that aligns with the organization's vision and solves specific customer problems.¹¹
- **Benchmarking Performance:** Tracking metrics such as Cycle Time, Lead Time, and First Pass Yield to measure the impact of improvements.⁹

This approach transforms IT from a cost center into a value driver by linking technical metrics directly to business Key Performance Indicators (KPIs).¹²



AI-Native Governance and the 6C Model

As organizations integrate artificial intelligence into the fabric of their operations, governance must transition from a central control mechanism to a guided decision-making model.² ITIL Version 5 provides structured guidance for the responsible and ethical adoption of AI, ensuring that transparency, accountability, and regulatory compliance are embedded from the start.¹

The AI Capability Model (6C Model)

To help organizations identify the specific AI capabilities required to support their value streams, Version 5 introduces the 6C Model.⁶

Capability	Description	Strategic Application
Creation	Generating new content, code, or designs.	Accelerating software development and creative tasks.
Curation	Managing and filtering vast datasets for relevance.	Enhancing knowledge management and data retrieval.
Clarification	Explaining complex data or ambiguous scenarios.	Improving diagnostics in problem and incident management.
Cognition	High-level reasoning and pattern recognition.	Predictive analytics for demand forecasting and risk.
Communication	Interaction via natural language processing.	AI-assisted support agents and virtual assistants.
Coordination	Orchestrating tasks across distributed systems.	Automating complex multi-team workflows and releases.



Governance in the AI-native environment focuses on defining acceptable use policies, oversight mechanisms, and clear accountability structures.⁶ This ensures that AI and automation tools are used ethically to minimize risks while maximizing the benefits of faster delivery and smarter decision-making.¹

Management Practices and Specialization Clusters

ITIL Version 5 continues the use of 34 management practices, but the 2026 qualification scheme introduces a role-aligned grouping for professionals pursuing the **ITIL Practice Manager** designation.¹ To achieve this designation, candidates must complete the ITIL Foundation and the universal ITIL Transformation module, along with one of three specialization clusters.¹

The Three Practice Clusters

1. **Monitor, Support and Fulfil (MSF):** Focused on operational stability and user interaction. This cluster includes the **Service Desk, Incident Management, Problem Management, Service Request Management, and Monitoring & Event Management** practices.¹
2. **Plan, Implement and Control (PIC):** Focused on the governance of changes and assets. This cluster includes **Change Enablement, Deployment Management, Release Management, Service Configuration Management, and IT Asset Management**.¹
3. **Collaborate, Assure and Improve (CAI):** Focused on strategic quality and relationships. This cluster includes **Relationship Management, Supplier Management, Service Level Management, Continual Improvement, and Information Security Management**.¹

Practices remain the "how" of service delivery, representing the combination of organizational resources needed to perform work.⁶ The shift in Version 5 emphasizes that these practices must be applied in a complexity-ready manner, adapting to the environment rather than following rigid procedural steps.¹



The Four Dimensions of Service Management

To ensure a holistic approach, ITIL Version 5 mandates that all service management activities consider four critical dimensions.¹ Excellence in one dimension cannot compensate for deficiencies in others, and organizations must balance these dimensions while considering external factors through PESTLE analysis (Political, Economical, Social, Technological, Legal, and Environmental).¹

- **Organizations and People:** Focuses on roles, responsibilities, organizational structure, and culture.¹ This dimension addresses human elements like skills, competencies, and the breakdown of silos.¹
- **Information and Technology:** Focuses on the knowledge and data required for management, as well as the technologies used to support services.¹ In Version 5, this explicitly includes the use of AI, intelligent automation, and modern infrastructure like microservices and cloud computing.¹
- **Partners and Suppliers:** Focuses on an organization's relationships with third parties involved in the design, development, and delivery of services.¹ This recognizes that modern value creation often involves complex ecosystems of external vendors.¹
- **Value Streams and Processes:** Focuses on how the organization orchestrates its activities to ensure value creation.¹ This dimension is where processes transform inputs into outputs, and value streams link those activities together for specific demands.¹



The 2026 ITIL Version 5 Qualification Scheme

The certification pathway as of February 2026 has been simplified to support progressive learning and role-relevant capability building.¹ The scheme follows a hierarchical structure starting from the entry-level Foundation through advanced designations, culminating in the ITIL Master.¹

Core Designations and Modules

Designation	Required Modules	Career Target
ITIL Foundation	ITIL 5 Foundation Exam	All digital and IT professionals.
Practice Manager (PM)	Foundation + Transformation + (One of: MSF, PIC, or CAI)	Operational and hands-on practitioners.
Managing Professional (MP)	Foundation + Transformation + Product + Service + Experience	Mid-level to senior product/delivery leaders.
Strategic Leader (SL)	Foundation + Transformation + Strategy	Senior leaders and digital strategists.
ITIL Master	Completion of PM, MP, and SL designations	Holistic mastery of digital service management.

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The **ITIL Transformation** module is a universal core component required for all advanced designations.¹ It focuses on managing sustainable change by aligning people, processes, and technology.¹ Once completed, its credit applies across all learning streams.¹

The **AI Governance** extension module is currently the only official extension, addressing the ethical and compliant adoption of AI.¹ Previous ITIL 4 extension modules have been absorbed



into the broader Version 5 core guidance.¹

Transition Pathways for Certified Professionals

ITIL Version 5 is designed to be backward compatible, ensuring that practitioners' existing investments in ITIL 4 and v3 certifications retain their value.¹

From ITIL 4 to Version 5

- **Foundation:** Professionals holding an ITIL 4 Foundation certificate are not required to retake the Foundation to access Version 5 advanced modules.¹⁶ However, a one-day **ITIL Foundation Bridge** course is available starting February 26, 2026, for those who wish to update their credentials to the new version.⁴
- **Practice Manager / Strategic Leader:** Current ITIL 4 PM or SL designation holders can upgrade to Version 5 by completing the single **ITIL Transformation** module.¹
- **Managing Professional / Master:** Holders of these designations can move into a dedicated **Managing Professional Transition (MPT)** course, which introduces the core foundational changes and builds on them with guidance from the Product, Service, Experience, and Transformation areas.¹

From ITIL v3 to Version 5

- **Foundation / Intermediate:** These certifications are no longer accepted as prerequisites for advanced modules. Candidates are advised to take the full **ITIL Foundation (Version 5)** to cover the extensive new digital and AI-focused material.¹
- **Expert / Master:** These high-level v3 professionals can move directly into the **ITIL Managing Professional Transition (MPT)** course to update their status to Version 5.¹



Integration with Other Frameworks

ITIL Version 5 is positioned not as a competitor but as a governance framework that enables other methodologies to work effectively in a corporate setting.¹ It serves as a common language connecting Strategy to Delivery across various frameworks.¹

ITIL, Agile, and DevOps

In the Version 5 ecosystem, the "ITIL vs. Agile" debate is resolved by native integration.¹ Change management has evolved into an automated, data-driven activity that integrates directly with DevOps CI/CD (Continuous Integration and Continuous Delivery) pipelines.¹ Standard, low-risk changes are pre-authorized for automated release, while normal changes are assessed through guided decision-making rather than centralized approval layers.¹ This supports high-velocity service delivery where organizations must respond to market changes at unprecedented speeds.¹

ITIL and Lean

Lean thinking is deeply embedded through the focus on value stream optimization and the elimination of non-value-adding steps.¹ VSM identifies the "messy reality" of organizational work, allowing teams to move from reactive firefighting to proactive management by reducing lead times and improving flow visibility.¹²

ITIL and PRINCE2

ITIL Version 5 remains compatible with PRINCE2, particularly during the **Acquire, Build, and Transition** activities of the unified lifecycle.¹ Project management methodologies provide the structure needed for the realization of implementations, while ITIL provides the operating model and governance context to ensure that those implementations co-create value once operational.¹



Final Preparation and Examination Insights

The ITIL Foundation (Version 5) examination is designed to validate a candidate's practical understanding of the framework's core language and principles.¹⁸ Candidates should prepare for a scenario-based assessment that tests their ability to apply ITIL concepts in modern, AI-driven environments.¹

Exam Element	Requirement
Format	Multiple Choice
Total Questions	40
Pass Mark	65% (26 correct answers)
Duration	60 Minutes
Book Status	Closed Book
Language Availability	Initially English (Localization in progress)

7

Prospective students are encouraged to use official eBooks and mock exams, which are typically available through PeopleCert Accredited Training Organizations (ATOs).⁷ While training is not mandatory for the Foundation level, it is highly recommended given that 36% of the content is entirely new to the industry.⁴



Actionable Conclusions for Practitioners and Leaders

The 2026 iteration of ITIL represents the most practical and adaptable version of the framework to date, specifically engineered for organizations that are product-centric and digital-first.² The strategic shift toward a unified digital product and service lifecycle ensures that organizations can move faster and stay compliant while delivering measurable value in an increasingly complex world.¹

For individual professionals, the updated certification path provides role-relevant clarity, allowing them to upskill in areas like AI Governance and Experience design—skills that are in high demand across the competitive global landscape.⁷ For organizations, the implementation of Version 5 offers a mechanism to align business goals with operational execution, fostering a culture of continual improvement that is data-driven and outcome-focused.⁸ By adopting the ITIL Version 5 framework, organizations position themselves not just to survive the digital disruption but to lead through responsible innovation and total digital excellence.²



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